

7-3a Strategies for Financial Companies

One of the leading strategic goals for financial companies is to profit from the foreign exchange market. The

foreign exchange market (The market where individuals, firms, governments, and banks buy and sell foreign currencies.)

is a market where individuals, firms, governments, and banks buy and sell foreign currencies. Unlike a stock exchange, the foreign exchange market has no central, physical location. This market is truly global and transparent. Buyers and sellers are geographically dispersed but constantly linked (quoted prices change as often as 20 times a *minute*). The market opens on Monday first in Tokyo and then Hong Kong and Singapore, when it is still Sunday evening in New York. Gradually, Frankfurt, Zurich, London, New York, Chicago, and San Francisco wake up and come online.

Operating on a 24/7 basis, the foreign exchange market is the largest and most active market in the world. On average, the worldwide volume averages US\$5.3 trillion a *day*. To put this mind-boggling number in perspective, the amount of one single *day* of foreign exchange transactions is more than three times the amount of entire worldwide FDI inflows in one *year* (US\$1.45 trillion in 2013), and more than one-third of worldwide merchandise exports in one *year* (US\$18.4 trillion in 2013). Specifically, the foreign exchange market has two functions:

- (1) to service the needs of trade and FDI, and
- (2) to trade in its own commodity—namely, foreign exchange.

There are three primary types of foreign exchange transactions:

- (1) spot transactions,
- (2) forward transactions, and
- (3) swaps.

Spot transactions (The classic single-shot exchange of one currency for another.) are the classic single-shot exchange of one currency for another. For example, Canadian tourists buying several thousand euros in Italy with Canadian dollars will get their euros from a bank right away.

Forward transactions (Foreign exchange transaction in which participants buy and sell currencies now for future delivery.)

allow participants to buy and sell currencies now for future delivery, typically in 30, 90, or 180 days, after the date of the transaction. The primary benefit of forward transactions is to

protect traders and investors from being exposed to the fluctuations of the spot rate, an act known as

currency hedging (A transaction that protects traders and investors from exposure to the fluctuations of the spot rate.)

. Currency hedging is a way to minimize the foreign exchange risk inherent in all non-spot transactions, which characterize most trade and FDI deals. Traders and investors expecting to make or receive payments in a foreign currency in the future are concerned whether they will have to make a greater payment or receive less in terms of the domestic currency, should the spot rate changes. For example, if the forward rate of the euro (€/US\$) is exactly the same as the spot rate, the euro is “flat.” If the forward rate of the euro per dollar is *higher* than the spot rate, the euro has a

forward discount (A condition under which the forward rate of one currency relative to another currency is higher than the spot rate.)

. If the forward rate of the euro per dollar is *lower* than the spot rate, the euro then has a **forward premium** (A condition under which the forward rate of one currency relative to another currency is lower than the spot rate.)

Hypothetically, assume that

- (1) today's exchange rate of €/US\$ is 1,
- (2) a US firm expects to be paid €1 million six months later, and
- (3) the euro is at a 180-day forward discount of 1.1.

The US firm may take out a forward contract now and convert euro earnings into a dollar revenue of US\$909,091 (€1 million/1.1) after six months. Does such a move make sense? There can be two answers. “Yes,” if the firm knew in advance that the future spot rate would be 1.25. With the forward contract, the US firm would make US\$909,091 instead of US\$800,000 (€1 million/1.25)—the difference is US\$109,091 (14% of US\$800,000). However, the answer would be “No” if the spot rate after six months were actually below 1.1. If the spot rate remained at 1, the firm could have earned US\$1 million, *without* the forward contract, instead of only US\$909,091. This simple example suggests a powerful observation: Currency hedging *requires* firms to have expectations or forecasts of future spot rates relative to forward rates.

A third major type of foreign exchange transactions is swap. A

currency swap (A foreign exchange transaction between two firms in which one currency is converted into another at Time 1, with an agreement to revert it to the original currency at a specified Time 2 in the future.)

is the conversion of one currency into another in Time 1, with an agreement to revert it back to the original currency at a specific Time 2 in the future. Deutsche Bank may have an excess balance of British pounds but need dollars. At the same time, Union Bank of Switzerland (UBS) may have more dollars than it needs at the moment but is looking for more British pounds. They can negotiate a swap agreement in which Deutsche Bank agrees to exchange with UBS pounds for dollars today and dollars for pounds at a specific point in the future.

The primary participants of the foreign exchange market are large international banks, such as Citigroup, Deutsche Bank, and UBS, which trade among themselves. How do these banks make money by trading money? They make money by capturing the difference between their **offer rate** (The price to sell a currency.) (the price to sell) and **bid rate** (The price to buy a currency.) (the price to buy)—the bid rate is *a/ways* lower than the offer rate. The difference of this “buy low, sell high” strategy is technically called the **spread** (The difference between the offer rate and the bid rate.) . For example, Citigroup may quote offer and bid rates for the Swiss franc at US\$1.0877 and US\$1.0874, respectively, and the spread is US\$0.0003. That is, Citigroup is willing to sell 1 million francs for US\$1,087,700 and buy 1 million francs for US\$1,087,400. If Citigroup can simultaneously buy and sell 1 million francs, it can make US\$300 (the spread of US\$0.0003 × 1 million francs). Given the instantaneous and transparent nature of the electronically linked foreign exchange market around the globe (one new quote in London can reach New York before you finish reading *this* sentence), the opportunities for trading, or arbitrage, can come and go very quickly. The globally integrated nature of this market leads to three outcomes:

- Razor-thin spread.
- Quick (often literally split-second) decisions on buying and selling (remember Professor Lyon’s observation earlier).
- Ever increasing volume in order to make more profits (recall the *daily* volume of over US\$5 trillion). In the example above, US\$300 is obviously just a few “peanuts” for Citigroup. Do a little math: How much trading in Swiss francs does Citigroup have to do in order to make US\$1 million profits for itself?

Chapter 7: Dealing with Foreign Exchange: 7-3a Strategies for Financial Companies

Book Title: WGU Economics

Printed By: Mike Benton (mbento6@wgu.edu)

© 2021 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may be reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.